

■ Money laundering **STILL LEAKING**

We know the tap, but closing it is not so easy

Cutting off the money supply of terrorists is a key strategy in curbing terror. The US has warned India that the 'hawala' system of illegal money transfer is "directly linked to terror financing". As India continues to be a drug-transit country, falling between the heroin-producing countries of the Golden Triangle and Golden Crescent, it is imperative for India to create a strict legal and enforcement framework to stop this.

To be able to do that, India passed the Prevention of Money Laundering (Amendment) Bill, 2009, that aims at combating money laundering, terror financing and cross-border economic offences. It came into force from June 1 and financial intermediaries like full-fledged moneychangers, money transfer service providers such as Western Union and International Payment gateways, including VISA and MasterCard, have also been brought within its ambit. Even casinos will have to report to enforcement authorities and now there is a legal framework to check misuse of the "proceeds of crime",—be it from sale of banned narcotic substances or breach of the Unlawful Activities (Prevention) Act 1999. India plans to become a member of the Financial Action Task Force on money laundering by next year.

No instrument of money seems safe, neither stock exchange nor the banks. In October, SEBI directed all stock exchanges and other securities intermediaries to keep a strict

watch on UN-listed terror funding entities. They have to inform the Union Home Ministry within 24 hours if they find a client whose particulars match with those of UN-listed terror entities. The RBI this month directed all banks and financial institutions to scan existing accounts to ensure that these are not held by or linked to any entity or individual figuring in the UN list of terror-related organisations. It also advised all NBFCs to maintain records of clients, including identity of the clients, both domestic and international, for a period of 10 years from the date of transaction. But it remains to be seen how these measures will translate on ground.

by Mihir Srivastava

WHAT'S DONE

- Prevention of Money Laundering (Amendment) Bill, 2009, passed
- RBI has advised all NBFCs to maintain records of clients
- SEBI has directed stock exchanges to keep watch on UN-listed terror funding entities

WHAT'S NOT

- Slack enforcement of financial guidelines by RBI and SEBI
- Political will lacking over illegal money transfer and 'hawala' as it is used by many corrupt people

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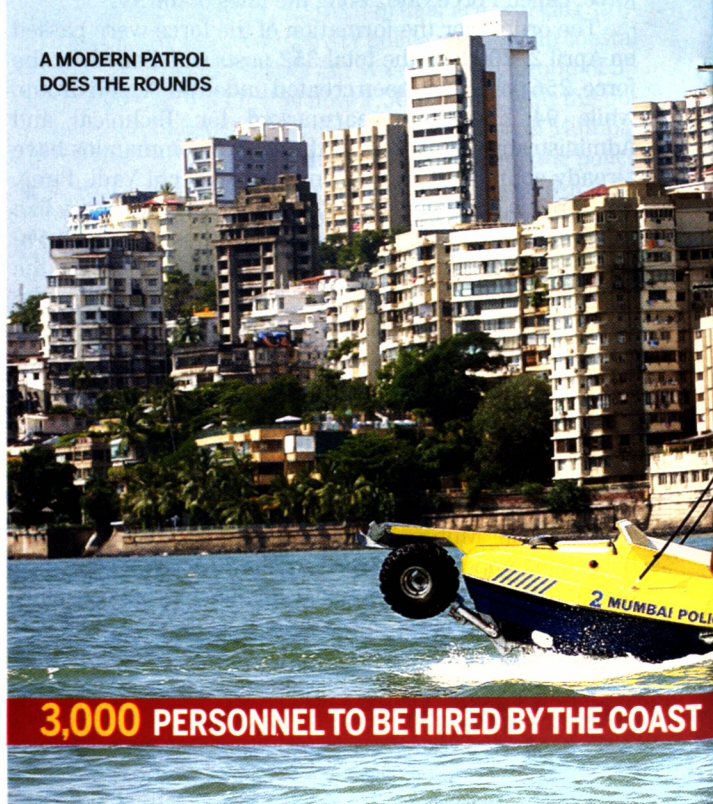
■ Coastal security **CRUISING ALONG**

They've got going, but there's a long way to go

The 26/11 attacks highlighted for the first time the vulnerabilities of India's sea coast which at over 7,600 km is simply too much to be fenced or adequately patrolled. Putting into play the coordination mantra that has come in after the attacks, the navy has been given the overall responsibility of coastal security, the neglected Coast Guard has been beefed up and a new marine police is now beginning to be set up. The Coast Guard will add 54 new vessels and 20 aircraft and induct 3,000 new personnel. A network of 46 coastal radars is to be set up for Rs 300 crore. The problem? It will take over five years for the new force to come into effect.

"You cannot fill the deficiencies of a decade in just a year," a senior Coast Guard official says. Of still greater

A MODERN PATROL DOES THE ROUNDS



3,000 PERSONNEL TO BE HIRED BY THE COAST